

THE INDIAN ELECTRONIC COMPONENTS INDUSTRY: An Outlook



Sudeshna Das is senior executive editor at EY. This article is authored with inputs from ELCINA

The Indian market for electronic products is poised for significant growth in the next few years. According to an ASSOCHAM-Ernst & Young (E&Y) study, the Indian electronics and hardware industry is expected to grow at a CAGR of 13 to 16 per cent during 2013-18, and to reach US\$ 112 to US\$ 130 billion by 2018 from the previous year's level of US\$ 75 billion. This growth will be driven by rising local demand and growing disposable incomes.

Moreover, adoption of high-end technology devices, technology-driven transformation such as roll out of 4G/LTE networks and the Internet of Things (IoT), policy and incentive boost from the government, government initiatives like Digital India, Smart Cities, wider broadband connectivity, e-governance programmes and so on are driving accelerated adoption of electronic products. Growth of the electronics products industry has started driving the expansion of electronic components industry as well.

Local brands under Make in India initiative as well as global manufacturers looking to relocate their manufacturing base from China to alternate locations such as India, Vietnam and Indonesia due to mounting labour costs provide a strong impetus to the Indian electronics and hardware industry. This, in turn, presents an opportunity to

the electronic components manufacturing industry of the country. Over the next five years, accelerated local manufacturing of electronic products for catering to growing domestic demand will drive the market for electronic components in India.

Market mix

The electronic components market can be broadly bucketed under the follow-

Electronic components industry: Value addition

Value addition in electronic components is extremely limited as most of the raw materials are either imported or are purchased at a high cost. Most manufacturers believe that value addition in the electronic components industry would not exceed 40 per cent. With the increase in imports of components from China, value addition achieved in India is expected to reduce further.

ing sub-categories:

1. Passive components: capacitors, resistors, wound components, crystals
2. Active components: diodes, transistors, integrated circuits, light-emitting diodes
3. Electromechanical components: printed circuit boards, switches, relays, cables, connectors
4. Associated components/other components: optical disks, magnets, radio frequency tuners, heat-sinks, magnetrons, magnetic tapes

In 2015, the total market revenue for electronic components was US\$13.5 billion (Fig. 1). The market was dominated by electromechanical components, which accounted for 30 per cent of the total demand, followed by passive components with 27 per cent market share.

However, in recent times, active components and associated components have also witnessed significant growth. While the industry composition is not predicted to change substantially, there is a rapid decline in products such as cathode ray picture tubes and CDs/DVDs, which had till recently constituted a significant share of the manufacturing base and market. This is an outcome of advancing technology and consumer preferences.

According to an ELCINA study, electronic components produced in India include, among others, wound components such as transformers and coils, diodes, transistors, resistors, capacitors, switches, relays, connectors, magnetic heads and so on. Components such as picture tubes and magnetic tapes

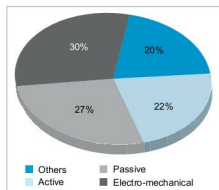


Fig. 1: Indian electronic components revenues by sub-segments (US\$ 13.5 billion, 2015)
(Source: EY analysis)